THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT

FORM THREE ANNUAL EXAMINATION
061 COMMERCE

Time: 3 Hours **November 2025**

Instructions

1. This paper consists of sections **A**, **B** and **C** with a total of eleven questions.
2. Answer all questions in sections **A**, **B** and two questions in section **C**.
3. All writing must be in blue or black ink except for drawings that must in pencil.
4. Section A carries sixteen marks; section B fifty-four marks and section C carries thirty marks
5. All communication devices and un-authorized materials are not allowed in the examination room

SECTION A (16 MARKS)
Attempt all questions in this section

1. For each of the items (i) to (x) choose the most correct answer among the given alternatives.

(i) A document where the importer specifies the manufacturer of the goods to be imported is
   A. An order
   B. An open indent
   C. A closed indent
   D. An invoice
   E. A certificate

(ii) The transport charge of small machine which cost Tsh 300 is Tsh 70. For how much should it be sold to make a profit of 25% of the cost?
   A. Tsh 325
   B. Tsh 379
   C. Tsh 400
   D. Tsh 463
   E. Tsh 375

(iii) Suppose you are a marketing manager who wants to satisfy the target market, at the same time, achieve the marketing objectives. Which element of market mix would you consider?
   A. Branding, grading, standardizing and pricing
   B. Product, price, brand name and promotion

C. Package, price, promotion and place
D. Product, price, promotion and place
E. Brand name, package, packaging and product

(iv) "Mr. Seypalm" has started a large business in his area of residence. What is likely to be among the following:
A. Supermarket
B. Mobile shop
C. Carpentry
D. Single shop
E. Personal selling

(v) Which among the following is a memorable form of communication that traders would adopt to remind their debtors to pay for the amount due?
A. Verbal communication
B. Written communication
C. Sign communication
D. Visual communication
E. Internal communication

(vi) A crossed cheque with the words "*Not negotiable*" implies that
A. A cheque can only be paid to the account of the company
B. The payment should be made through the bank account of the payee
C. A payee named on the cheque can transfer the right to receive money to another person
D. A cheque can be paid across the counter
E. A payee named on the cheque cannot transfer the right to receive money to another person

(vii) One of the following activities is involved in tertiary production.
A. Fishing
B. Tailoring
C. Teaching
D. Hunting
E. Lumbering

(viii) Suppose you are an exporter and you have been required to write a document which will allow the bank in importing country to sell or repossess those goods sent since an importer fail to pay that bank as agreed before. Which document will you write?
A. A letter of hypothecation
B. A letter of credit
C. Consular invoice
D. Certificate of insurance
E. Bill of lading

(ix) Assume the Tanzania government has agreed to sell Tanzanite minerals to German, China and France, what will be the type of international trade agreement between Tanzania and those countries basing on that trade?
A. Export trade

B. Import trade
C. Bilateral trade
D. Multillateral trade
E. Entreport trade

(x) As a bank customer, which means of payment is appropriate for you to adopt when you want to send money to many recipients such as employee's salaries or investors dividends?
A. Bank Giro-credit
B. Credit card
C. Debit card
D. ATM card
E. Standing order

2. Match the description in column **A** with the corresponding answer in column **B.**

COLUMN A	COLUMN B
(i) Document issued by airline company to act as a contract for carriage of goods between parties. (ii) A document issued by ship owner to the exporter showing the agreement to ship the goods to the port of destination. (iii)An agreement between the shipping company and sender of the goods to hire the ship for carriage of goods to a specific destination. (iv)A document which is issued by a shipping company to show the cost of shipping the goods. (v) A document accompanying the shipment of goods that show description and quantity of goods delivered. (vi)A document containing information and notice required by passengers for travelling purposes.	A. Time charter B. Passenger ticket C. Bill of lading D. Delivery note E. Charter party F. Fleight note G. Airway bill H. Advice notes

SECTION B (54 MARKS)
Attempt all questions in this section

3. (a) Outline three differences between Commerce and Economics
(b) What are the three factors that contributed to the growth of exchange and distribution in Tanzania?

4. (a) Change in demand of a commodity is different from the change in quantity demanded of the same commodity at a particular time. In three points, argue for this statement.
(b) Demand curve has a negative slope because it slopes downward from left to right. In three points, explain why a demand curve has a negative slope.

5. (a) Introduction of money in trade was inevitable. Trace and analyse where the necessity comes from. Give three points.

(b) Financial institutions offer a wide range of products and services to meet the needs of individuals, groups, businesses and large organizations. With vivid examples explain three products and services offered by financial institutions in Tanzania.

6. Creation of employment is one among the contributions of entrepreneurship activities to the Tanzanian economy. Discuss using six points.

7. (a) Examine three essential features of a good warehouse.
   (b) You have a stock administrator in one of your public warehouses. Some of his activities include Receiving and Storage of Goods. Propose three main tasks on receiving of stock that you would use in assessing his performance.

8. (a) State three advantages of automatic vending machine in a retail business.
   (b) What are the attributes that a good wholesaler should possess? Outline by three points.

SECTION C (30 MARKS)

Attempt Two questions from this section

9. Suppose your friends are planning to start entrepreneurship activities soon after completing form four studies, but they are not familiar with the risks associated with self-employment and how-to manage them. Explain to your friends three risks and suggest three ways on how to manage them.

10. The proper selection of medium of communication is important for efficient communication in business. In six points, describe factors to be considered when choosing the medium of communication.

11. A sudden decrease in demand for Luaja's juice with a popular brand "Embe dodo" influences her to approach marketing specialist who advices her to adopt marketing mix promotion technique which might stimulate customers preference. Identify six tools that will be adopted by her.